

THE CONTESTED WORLD ECONOMY

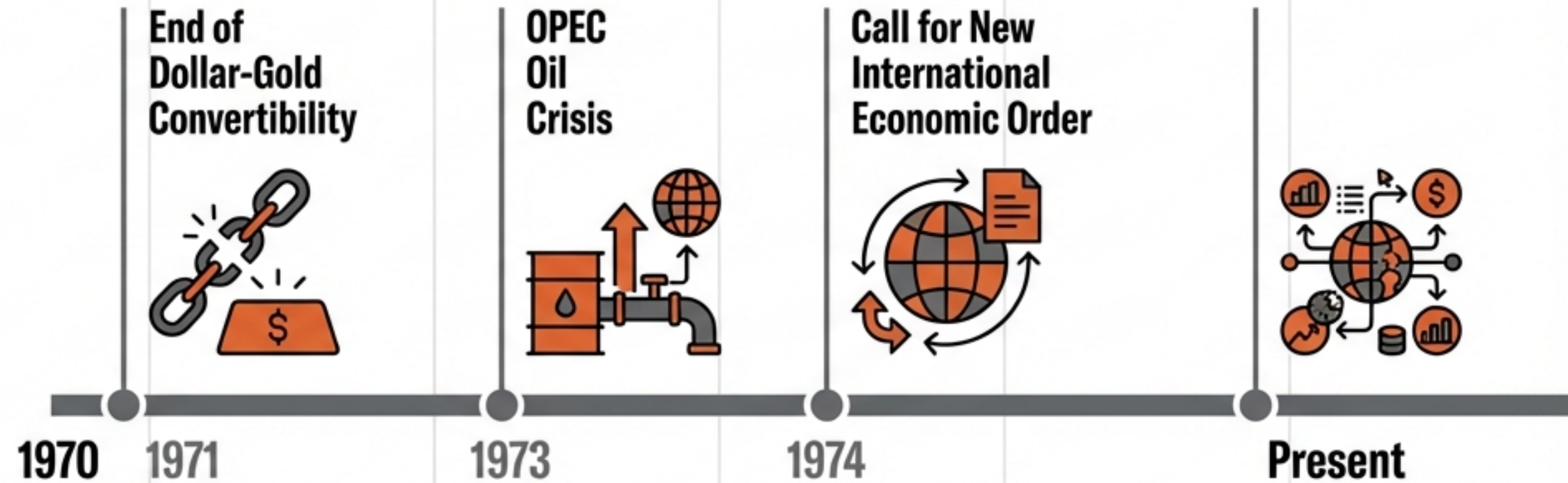
Week 1: Unearthing the Deep and Global Roots of International Political Economy



What is IPE?

The study of politics and economics at the global level. It examines how states, markets, and societies interact.

The Standard Narrative: A Late 20th Century Field



A Rebirth, Not a Birth

Helleiner argues the 1970s was a revival of centuries-old debates, not a new beginning.



A Global History

Thinkers from Asia, Africa, Latin America, and the Middle East were central. Ideas flowed East-to-West and South-to-North.



Beyond the Three Orthodoxies

The debate wasn't just Liberalism vs. Mercantilism vs. Marxism. It included environmentalism, feminism, and pan-national movements.

The Standard Framework: The Three Orthodoxies

The dominant ideological pillars of the 19th and 20th centuries.

Economic Liberalism



Markets create peace. Focus on individual liberty and free trade.

Neomercantilism



State power is paramount. Strategic protectionism builds national wealth.

Marxism



Class conflict drives history. Capitalism is inherently exploitative and globalizing.

Orthodoxy I: Economic Liberalism

Exploring the foundational ideas and their global interpretations.

The European Core



Key Figures: Adam Smith, David Ricardo.

The Market as Peacemaker. Free trade fosters prosperity and prevents war.

“It is not from the benevolence of the butcher, the brewer, or the baker that we expect our dinner.” — Smith

The Global Adaptation



Liberalism was not just a Western export; it was adapted and claimed by global thinkers.

- **China:** Yan Fu argued Confucian texts endorsed market policies centuries before Smith.
- **Americas:** Carlos Calvo (Argentina) adapted liberalism to defend sovereignty.
- **Africa/Ottoman:** Olaudah Equiano used liberal economic arguments to dismantle the slave trade.

Orthodoxy II: Neomercantilism

Exploring the foundational ideas and their global interpretations.

The Euro-American Core



Key Figures: Friedrich List, Alexander Hamilton.

Strategic Protectionism. “Kicking Away the Ladder”—preventing strong nations from keeping weak ones down.

Key Term: Productive Power (The capacity to produce is more valuable than current wealth).

The Global Adaptation



Developing nations embraced protectionism to resist colonial domination.

- **China:** Sun Yat-sen’s developmental nationalism focused on state-led industrialization.
- **India:** M.G. Ranade formulated “Economic Nationalism” to counter British Empire policies.
- **Japan:** Indigenous neomercantilist thought predated Western contact.

Orthodoxy III: Marxism

Exploring the foundational ideas and their global interpretations.

The European Core



Key Figures: Marx, Lenin, Luxemburg.

Class Conflict. Capitalism forces globalization and creates a world in its own image.

“Imperialism is the highest stage of capitalism.”

The Global Adaptation

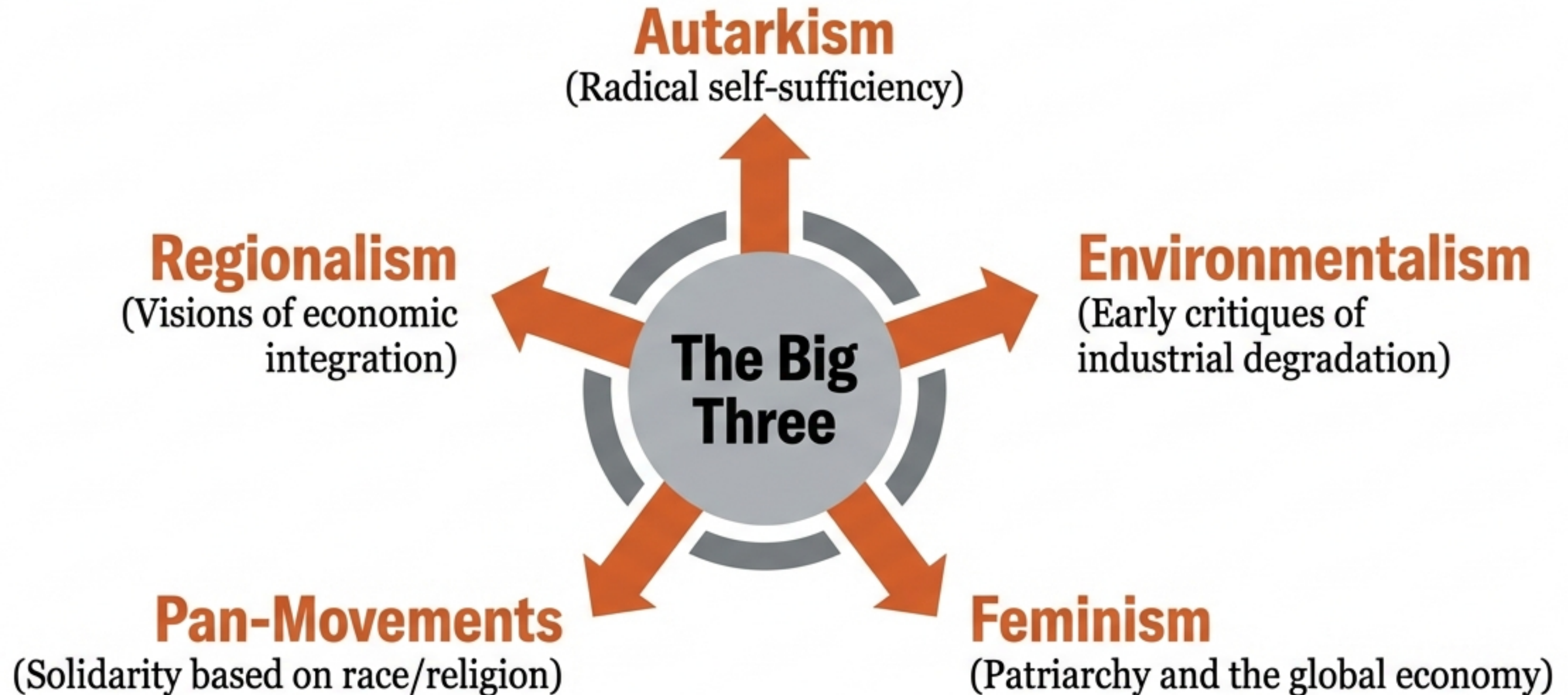


Marxism shifted from an urban theory to a tool for anti-colonial agrarian liberation.

- **Peru:** José Carlos Mariátegui adapted Marxism to Indigenous realities.
- **China/India:** M.N. Roy and Mao shifted the revolutionary focus from the urban proletariat to the agrarian peasantry.
- **Japan:** Kōtoku Shūsui adapted theories of imperialism.

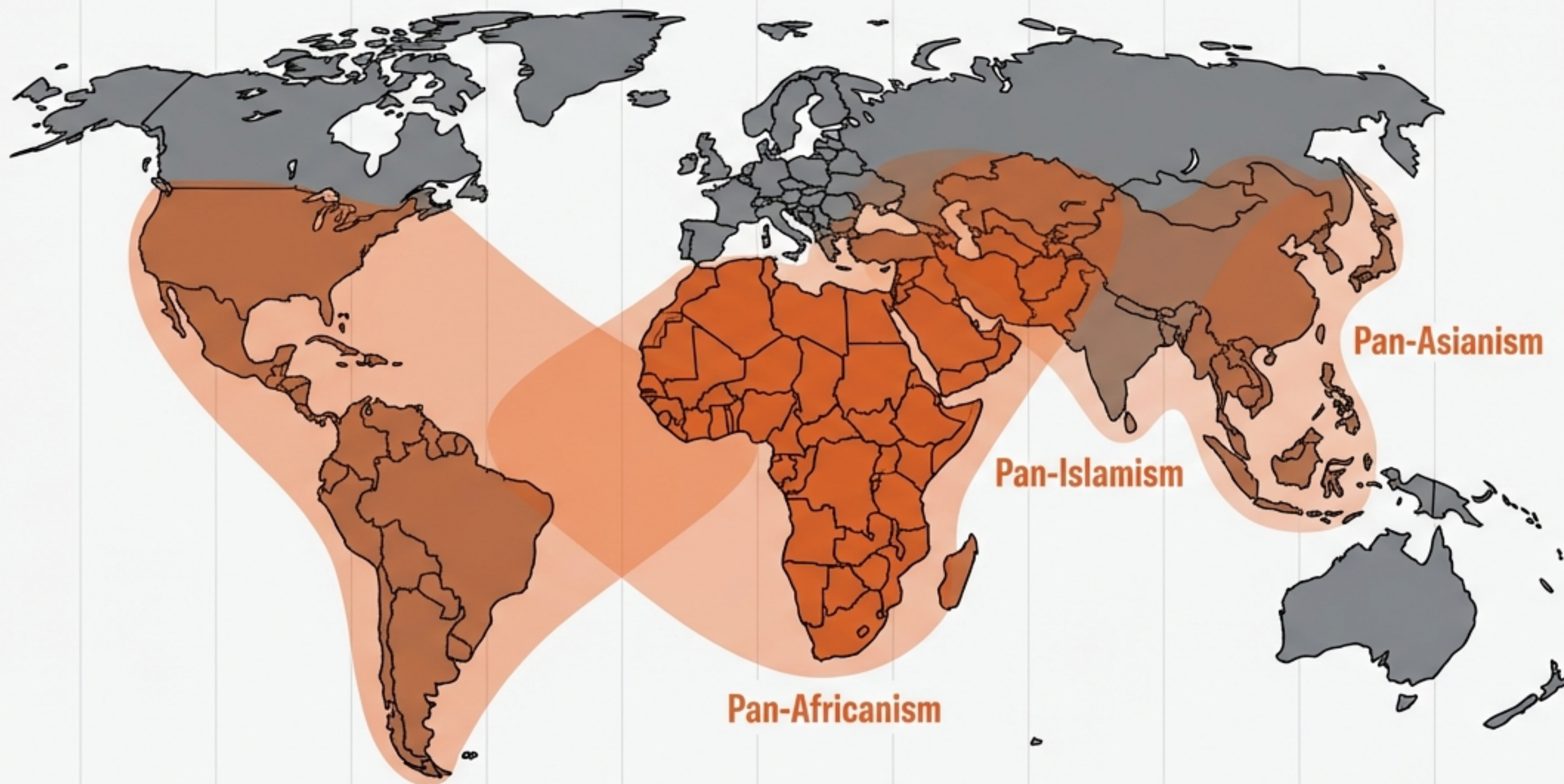
Why the Three Orthodoxies Are Not Enough

Focusing only on Liberals, Mercantilists, and Marxists misses nearly half the story.
Pre-1945 IPE was teeming with other distinct worldviews.



Solidarity Beyond the Nation-State: Pan-Movements

Rearranging the room, not just seeking a seat at the table.



Pan-Africanism:
W.E.B. Du Bois and
Marcus Garvey
sought economic
solidarity for the
African diaspora.

**Pan-Islamism &
Pan-Asianism:**
Invoked
transnational
religious or
civilizational
identity to resist
Western
hegemony.

Voices from the Margins: Feminism and Environmentalism

Feminism



Thinkers highlighted the patriarchal nature of the world economy. They argued that global “wealth” relied on the unpaid or undervalued labor of women.

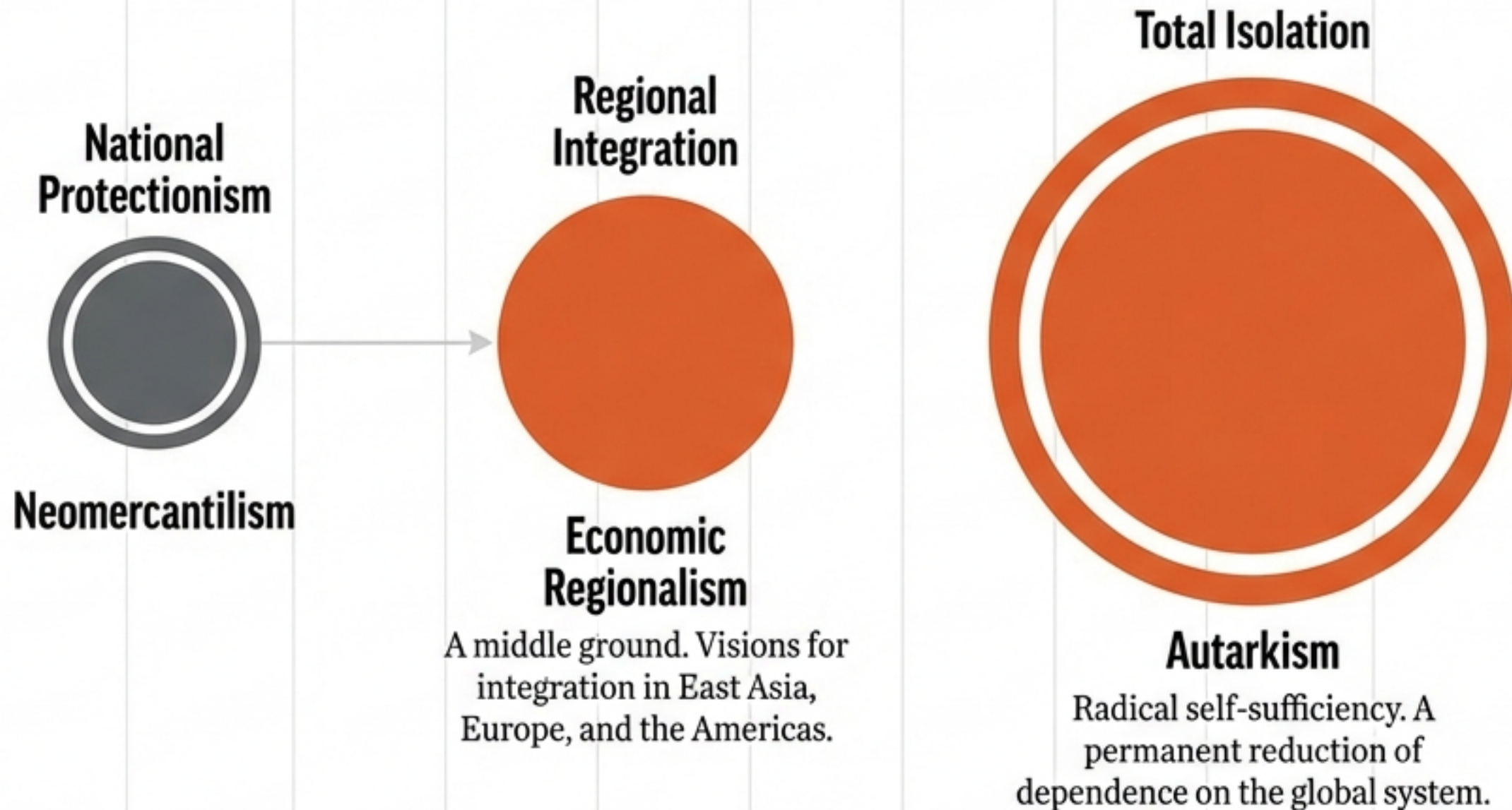
Environmentalism



Pre-1945 thinkers were already critiquing industrial capitalism for ecological degradation. They anticipated modern sustainability debates by linking resource extraction to long-term impoverishment.

Rethinking Economic Scale: Autarky and Regionalism

Alternatives to the standard Free Trade vs. Protectionism binary.



Why This History Matters

Escaping Intellectual Path Dependence

Current history is biased by the 1970s.

Standard IPE history reflects the anxieties of the Western academy during the breakdown of Bretton Woods. It is a product of its time.

Deep history reveals the roots of modern crises.

Global inequality, environmental degradation, and the resurgence of economic nationalism all have pre-1945 roots that are often ignored.

From Monologue to Dialogue.

Helleiner's goal is to build "Global Conversations"—moving beyond a Western-centric view to acknowledge a diverse, multipolar intellectual heritage.

The Vocabulary of the Contested World

IPE	International Political Economy—the study of politics and economics at the global level.
The ‘Rebirth’ Thesis	The view that 1970s IPE was a revival of pre-1945 debates rather than a new field.
Productive Power	Friedrich List’s concept that the <i>ability</i> to produce is more valuable than wealth itself.
Infant Industry Protection	Temporary protectionism designed to allow new industries to develop before facing competition.
Autarky	A policy of national economic self-sufficiency and withdrawal from trade.

Critical Inquiry and Discussion

01

Why might textbooks have traditionally focused on European/American thinkers? What are the practical consequences of this narrow focus for students today?

02

Why is it important to recognize that Liberals and Marxists disagreed *among themselves*, rather than treating them as monolithic blocks?

03

How might perspectives like Pan-Africanism or Pan-Asianism offer different insights into today's economic blocs compared to standard trade theory?

Next Week: The Rise of European Liberalism



Week 1:
Global Context

Week 2:
Classical Foundations

We will dive deep into the European canon.

- Adam Smith & *The Wealth of Nations*
- David Ricardo & Comparative Advantage
- Smith's Critics: The internal debates of early liberalism

Keep this week's 'Global Context' in mind—Smith wasn't writing in a vacuum.